# SaaS Business Performance Analysis Report

## 1. Executive Summary

This analysis examined SaaS business performance from January 2023 to August 2026, focusing on payment performance, customer activity, subscription trends, and revenue patterns.

The main finding was that 2026 recorded the highest payment value despite having fewer paying customers and subscriptions generating payments than 2025.

Total recorded net payment value increased from R2.99 million in 2025 to R3.42 million in 2026, an increase of approximately 14.7%. However, the number of paying customers declined from 973 to 842.

Further investigation showed that payment frequency increased while average payment values remained relatively stable. This suggests that more frequent payment activity contributed to the increase in payment value.

## 2. Business Problem

The company needed to understand how its subscription and payment performance changed over time, identify factors influencing payment value, and determine whether customer activity and payment patterns were supporting business growth.

The analysis focused on identifying areas of strong performance and potential concerns that could affect revenue consistency and customer retention.

## 3. Business Questions

The analysis aimed to answer the following questions:

1. How did payment value change between 2023 and 2026?
2. How did the number of paying customers and subscriptions change?
3. Which subscription plans contributed to the customer base, and did the plan mix change?
4. How did payment frequency and average payment values change?
5. What proportion of payments were successful, failed, or refunded?
6. Were discounts significantly reducing the value received from payments?

## 4. Methodology

The analysis was conducted using SQL Server and SSMS.

The datasets were reviewed and analysed to understand customer, subscription, and payment activity. SQL queries were used to:

- Examine payment values and transaction volumes over time.
- Calculate average payment values and payment frequency.
- Compare paying customers and subscriptions across years.
- Analyse subscription plan distribution.
- Evaluate payment outcomes, including successful, failed, and refunded transactions.
- Compare gross and net payment values to assess deductions.

For consistent comparisons, annual payment analysis focused on January to August across each year, matching the available 2026 reporting period.

# 5. Key Findings and Business Recommendations

## Finding 1: Payment value increased despite fewer paying customers

Total recorded net payment value increased from R2.99 million in 2025 to R3.42 million in 2026, representing a 14.7% increase.

However, paying customers declined from 973 to 842, while subscriptions with payment activity decreased from 1,500 to 1,280.

Revenue per paying customer increased from R3,069.57 to R4,067.63.

**Business implication:** The company generated more payment value from a smaller group of paying customers. While this indicates stronger payment value per customer, the decline in paying customers is worth monitoring because continued customer losses could affect future growth.

**Recommendation:** Investigate the decline in paying customers and identify whether it is linked to cancellations, reduced customer activity, or fewer new subscriptions.

## Finding 2: Payment frequency increased while average payment values remained stable

Average payments per subscription increased from 2.60 in 2025 to 3.45 in 2026, an increase of approximately 33%.

At the same time, average net payment value per transaction remained relatively stable, increasing slightly from R766.41 to R774.52.

**Business implication:** The increase in payment value was not mainly driven by customers making substantially larger payments. Instead, the higher number of payment transactions per subscription appears to have contributed to the increase.

**Recommendation:** Monitor payment frequency and investigate whether the increase reflects consistent subscription billing or changes in customer payment behaviour.

### Finding 3: Subscription plan distribution remained relatively stable

The subscription mix changed very little between 2025 and 2026.

In 2026, Starter subscriptions represented 36.76% of subscriptions, Professional 35.68%, Business 21.08%, and Enterprise 6.49%.

There was no substantial shift towards higher-priced plans that could explain the increase in payment value.

**Business implication:** The higher payment value was not accompanied by a major change in the distribution of subscription plans. This supports the finding that increased payment activity was a more noticeable factor than a shift towards premium plans.

**Recommendation:** Review performance by subscription plan to identify which plans contribute most to payment value and whether certain customer segments offer opportunities for upgrades.

### Finding 4: Payment success rates remained relatively unchanged

The payment success rate increased slightly from 91.38% in 2025 to 91.47% in 2026.

Although successful payment value increased from R2.73 million to R3.14 million, failed and refunded payment values also increased.

**Business implication:** The higher payment value was not driven by a significant improvement in the payment success rate. Failed and refunded transactions remain important areas to monitor because they can affect the value the company ultimately collects.

**Recommendation:** Investigate the reasons behind failed payments and refunds, and identify whether particular customer groups or payment patterns experience more payment issues.

### Finding 5: Gross-to-net payment deductions remained relatively consistent

The difference between gross and net payment value increased in absolute terms as payment activity grew. However, the deduction rate remained close to 4% of gross payment value.

It was approximately 4.08% in 2025 and 4.10% in 2026.

**Business implication:** The proportion deducted from gross payment value changed very little. Therefore, discounts and other recorded deductions do not appear to be a major explanation for the increase in 2026 payment value.

**Recommendation:** Continue monitoring gross and net payment values to ensure that discounts and other deductions remain within acceptable business targets.

## 6. Limitations

- The analysis covers January 2023 to August 2026. The 2026 results therefore represent a partial year.
- Annual comparisons use January to August to maintain a consistent reporting period.
- Payment value is based on the recorded NetAmount field. Failed and refunded transactions must be considered separately when assessing actual collected revenue.
- The analysis identifies patterns and possible explanations but does not establish the exact reasons behind changes in customer activity or payment frequency.
- Subscription plan distribution is based on subscription start dates, while payment performance is based on payment dates. These measures therefore represent different reporting populations.

# 7. Next Steps

The company should focus on understanding the decline in paying customers, monitoring failed and refunded payments, and identifying which subscription plans and customer segments contribute most to successful payment value.

Further analysis of cancellations, customer retention, and subscription activity could help explain whether the increase in payment value is sustainable.

**Overall Conclusion**

The SaaS business recorded stronger payment performance in January to August 2026, with total recorded net payment value increasing by 14.7% despite fewer paying customers and subscriptions with payment activity.

The findings suggest that increased payment frequency contributed to this growth, while average payment values, subscription plan distribution, payment success rates, and gross-to-net deduction rates remained relatively stable.

The main concern is the decline in paying customers. Maintaining payment growth will therefore depend not only on transaction activity but also on retaining existing customers and supporting a consistent subscription base.